FNCE30007 DERIVATIVE SECURITIES

Week 2 Mini Case Study - Futures Hedging

1. Business Background

The Hershey Company is one of the world's largest chocolate manufacturers. In early 2024, Hershey's management faced significant uncertainty as cocoa prices rose to unprecedented levels. Since cocoa is a key raw material for chocolate production, rapid increases in cocoa prices could significantly affect the company's production costs and profitability. Management needed to decide how to manage this risk while maintaining stable earnings.

Imagine you are a junior risk analyst at The Hershey Company. Throughout this case, you will analyse how changes in cocoa prices affected the company's risk management decisions and financial performance.

1.1 Timeline

2024 — Cocoa prices surged and Hershey's hedge generated significant gains

- Poor harvests due to extreme weather conditions in major cocoa-producing countries, including Ghana and Côte d'Ivoire, significantly reduced global cocoa supply.
- Global cocoa prices increased sharply from around US$2,500–3,000 per metric tonne to over US$10,000 per metric tonne during 2024, reaching historical record highs.
- Many chocolate manufacturers faced rapidly increasing production costs as cocoa became substantially more expensive.
- Hershey, however, reported approximately US$460 million in pre-tax gains from cocoa derivatives, helping offset higher cocoa costs. Anticipating that cocoa prices could continue to rise, the company had previously entered into cocoa futures and options contracts to hedge its exposure to future cocoa purchases.
- Rather than fully eliminating its exposure, Hershey maintained a rolling hedging strategy, covering a portion of its expected cocoa requirements over a 3- to 24-month horizon. This approach allowed the company to reduce the impact of extreme price increases while retaining some exposure to favourable movements in cocoa prices.



- Figure 1. Global cocoa prices (US$/metric tonne), 1990–2026. Source: Macrotrends.

2025 — Cocoa prices declined, creating losses on some hedge positions

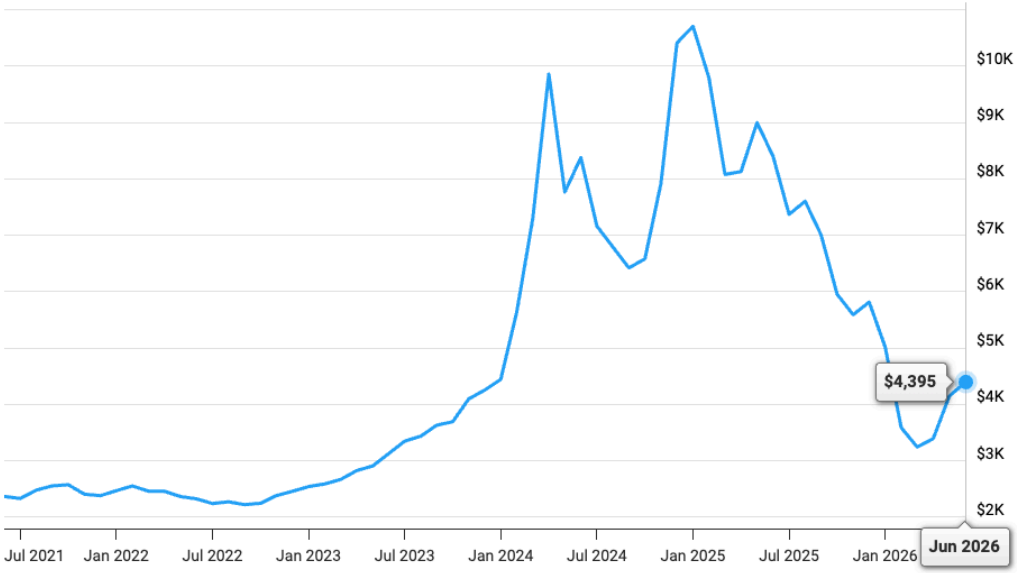
- Cocoa prices remained historically high during much of 2025, although they declined significantly from approximately US$10,710 per metric tonne in January to approximately US$5,815 per metric tonne in December.
- Hershey continued its rolling hedging strategy, replacing maturing cocoa futures and options contracts with new hedge positions to manage future cocoa purchase costs. Because some new hedge positions were established when cocoa prices remained elevated, the company continued to lock in cocoa prices at levels significantly higher than those before the 2024 price surge.
- As cocoa prices declined, some outstanding long cocoa futures positions generated mark-to-market losses, because the futures contracts had been entered into at higher prices than prevailing market prices. These losses reflected changes in the market value of derivative positions rather than a failure of the hedging strategy.
- Overall, Hershey's hedging programme helped reduce the volatility of cocoa costs, but it did not completely eliminate exposure to cocoa price movements. The company still faced higher input costs because it hedged only a portion of its expected cocoa purchases and continued to roll its hedge positions as market conditions changed.

2025-12-01	$5,814.86
2025-11-01	$5,590.71
2025-10-01	$5,953.57
2025-09-01	$7,006.53
2025-08-01	$7,604.12
2025-07-01	$7,371.89
2025-06-01	$8,401.95
2025-05-01	$9,000.79
2025-04-01	$8,132.22
2025-03-01	$8,079.56
2025-02-01	$9,792.66
2025-01-01	$10,710.35

- Figure 2. Monthly Global cocoa prices (US$/metric tonne), 2025. Source: Macrotrends.

2026 — Lower market prices did not immediately translate into lower company costs

- By June 2026, the global cocoa price had fallen to approximately US$4,395 per metric tonne.



- Cocoa prices had declined substantially from their 2024 peak.
- Despite lower market prices, Hershey continued to report cocoa-related cost pressures in its financial results.

2. Discussion Questions

After reading the case, think about the following questions before the tutorial.

2.1 In 2024, Hershey reported substantial gains from commodity derivatives while cocoa prices were rising sharply. Does this mean Hershey's hedging program was designed to generate profits? Explain your answer.

2.2 Although cocoa prices had fallen substantially by 2026, why might Hershey still face significant cocoa-related costs or report losses on some commodity derivative positions?